ENPRESA*

LETTER OF ENGAGEMENT

Client Name	
ABN	

BACKGROUND

The Accounting Academy

An accounting firm that specialises in business advice and compliance. We are a virtual firm and service clients all over Australia, with a team that can help with all aspects of compliance, CFO advisory and business advice.

OBJECTIVES AND SERVICES

INDIVIDUAL INCOME TAX RETURN

The objective of this engagement is to prepare and lodge your **Individual Income Tax Return for the income year ended 30 June 2026**, based on the information and supporting documentation provided by you.

COMPLIANCE - INDIVIDUAL INCOME TAX RETURN	
Particulars	**Amount (AUD $)**
Preparation and lodgement of Individual Income Tax Return–Income Year 2025-26	As separately agreed, or confirmed, having regard to the nature, scope and complexity of the Services.
TOTAL (Including GST)	**As separately agreed, or confirmed, having regard to the nature, scope and complexity of the Services.**

SCOPE OF SERVICES

This engagement includes:

- Reviewing the information and supporting documents provided by you.
- Reviewing the information available through the Australian Taxation Office.
- Preparing your Individual Income Tax Return.
- Identifying applicable deductions and tax offsets based on the information provided.
- Providing the completed tax return for your review and approval.
- Lodging the approved tax return with the Australian Taxation Office.
- Providing you with a copy of the lodged tax return.

SUMMARY

This engagement is limited to the preparation and lodgement of your **Individual Income Tax Return for the income year ended 30 June 2026**.

You are responsible for providing complete and accurate information and retaining the supporting records required under Australian taxation law. We will rely on the information provided by you and will not independently audit or verify that information.

Any additional work, including amendments to previous tax returns, complex capital gains calculations, cryptocurrency calculations, business schedules, ATO audits, reviews, objections or other services not specifically listed above, is outside the scope of this engagement and will be quoted separately.

ACKNOWLEDGMENT

I confirm that I understand and agree to the terms of engagement as outlined on the following pages.

Name: **Date:**

Signature:

TERMS OF ENGAGEMENT

1. Provision of Tax Agent Services

All Tax agent services are provided by **ENPRESA OF ACCOUNTING & FINANCE** under supervision of **THE ACCOUNTING ACADEMY SERVICES PTY LIMITED (ABN: 93 671 788 355, AGENT NUMBER 26233096**).

2. Important Information Regarding Your Rights and Our Professional Obligations

As a registered tax practitioner, we are bound by the Tax Agent Services Act 2009 (TASA), including the Code of Professional Conduct (the Code). This section provides you with important information as required by the Code.

3. The Tax Practitioners Board (TPB) Register

The TPB is the national board that registers and regulates tax practitioners. You can find our registration details, and those of any tax agent, on the public TPB Register.

- How to access: You can search the register at www.tpb.gov.au/registrations.
- Our registration number is: 26233096

4. Your Rights and Obligations

The law provides you with certain rights and also imposes specific obligations. The TPB has published a factsheet that explains what you can expect from us, your rights, and what you need to do in relation to the tax agent services we provide. We recommend you read this information, which is available on the TPB website.

5. How to make a Complaint

We are committed to providing a high-quality, professional service. If you have any concerns or are not satisfied with the service you have received, please contact us directly so we can seek to resolve the matter.

a. Our internal complaints contact: Daniel van der Heyden at complaints@theaccountingacademy.com.au. If you are not satisfied with our response, you have the right to lodge a complaint with the Tax Practitioners Board.
b. How to complain to the TPB: You can lodge a complaint with the TPB at www.tpb.gov.au/complaints.

6. Tax Agent Portal

You give permission to the tax agent to link you to their tax agent portal in order to carry out the services.

7. Client Verification

Each client is required to be verified by the Tax Agent, or its representative, in line with our professional and legal obligations. We will request a copy of photo ID (Driver Licence or Passport) or request that you display it to us in a video call.

8. Purpose and scope of the engagement

Our engagement is to attend to the matters outlined above.
The attached schedule lists those business entities and family members included in this engagement letter. Subject to any agreement to the contrary, the work is limited to the above and does not include specific advice, auditing or any other work.

9. Knowledge and skills

While the work, as defined, is within our knowledge and skills, any changes to the work may necessitate making new arrangements with you.

10. Professional fees and payments:

Unless otherwise stated in writing, any estimates which we provide to you of our anticipated fees, disbursements and charges for any work are only indicative of the amounts you can expect to be charged. Estimates are not quotes and are not binding on us.

11. Out of Scope Services

Our engagement is limited to the services explicitly listed in the "Objectives & Scope of Services" section. Where you request additional services, we will provide you with a new proposal or quote for your acceptance before commencing the work.
For minor ad-hoc tasks or urgent work where a separate quote is not practical, this work will be considered out of scope and will be billed at our standard hourly rate of $250 per hour plus GST.
Examples of out-of-scope services include, but are not limited to:

- Responding to any inquiry, investigation, or audit from the Australian Taxation Office (ATO) or other government bodies.
- Significant rectification of your data files or accounting records.
- Preparing specialised reports or documents for finance applications or third parties.
- Any advice or services not explicitly mentioned in the scope of this letter.

12. Terms of Trade

Unless other terms have been agreed to, our terms of payment are strictly seven (7) days from the date of each invoice. We will provide you with an itemised account of professional fees, costs and disbursements upon request. Accounts over 30 days old incur a $50 + GST administration per month fee plus interest of 1% a month on the balance. If we incur any costs of collection, such as solicitors fees and collection agency fees etc, you agree to indemnify us for all such costs.

13. Debt Collection

In the event of the Client being in default of their obligation to pay and the overdue account is then referred to a debt collection agency, and/or law firm for collection the Client shall be liable for the recovery costs incurred and if the agency charges commission on a contingency basis the Client shall be liable to pay as a liquidated debt, the commission payable by the Supplier to the agency, fixed at the rate charged by the agency from time to time as if the agency has achieved one hundred per cent recovery and the following formula shall apply. In the event where the Supplier or the Supplier's agency refers the overdue account to a lawyer the Client shall also pay as a liquidated debt the charges reasonably made or claimed by the lawyer on the indemnity basis.

14. We are an Accounting Firm Located Online

Unlike traditional firms that maintain a physical office, we operate from online offices and interact with our clients in the online environment. This enables us to:

- reduce the environmental impact of our services
- reduce operating costs and therefore pass on savings in our pricing
- eliminate travel time and maximise time to deliver accounting services
- provide flexibility for work/life balance that is best for mental health

Being an online firm, we are not located physically at the registered address, however, our legal jurisdiction for our tax agent licencing and services remains in Australia at all times. As is required by the ATO/TPB/any other government organisation, we maintain our contact details and insurance, ensuring that we are covered to provide our services to you with the greatest of integrity and compliance.

15. Cloud Based Systems and Your Data Security

Please also note, we use Cloud Based storage systems and softwares (such as Google Drive, Xero, Quickbooks) to maintain all client data, physical location of the servers is not in our control, which means that data might be on one of the servers outside Australia. We use our best endeavours to maintain the security of client data including:

- Using highly secure passwording system
- Malware and Virus Protection Software on our devices and within our email system
- Continuing our education and evolution of our systems to improve data security

16. Cybersecurity Policy for Generative AI

This policy outlines the responsible and secure use of generative AI within our organisation. It applies to all personnel using AI tools on our behalf. Generative AI must be used only for approved business purposes, complying with all relevant laws and respecting intellectual property rights. Users must ensure generated content aligns with our ethical standards and is not misleading, harmful, offensive, or discriminatory.
Access to AI tools is restricted to authorised individuals, requiring secure configurations, strong authentication, and adherence to our data protection policies. Sensitive or confidential data must not be input into AI prompts. Monitoring, logging, and incident reporting mechanisms are in place to detect and respond to security issues. Regular training and awareness campaigns will be conducted to educate on responsible AI use. Non-compliance may result in disciplinary action and legal consequences. This policy will be periodically reviewed and updated.

17. Third parties

From time to time, we use third parties, such as contractors, consultants and supervisors and outsourcing providers. These include, but are not limited to the following:

- ENPRESA OF ACCOUNTING AND FINANCE
- ESTIGUAN NAVAS BARRIOS (ABN: 76 419 203 365)
- THE ACCOUNTING ACADEMY SERVICES PTY LIMITED (ABN: 93 671 788 355) and its associates
- THE ACCOUNTING ACADEMY PTY LTD (ABN 26 669 927 959) and its associates
- DANIEL VAN DER HEYDEN (ABN 97 799 741 471) and its associates

18. Accounting & record keeping

In undertaking this engagement, it is understood that you will generally ensure that:

- The bookkeeping for all business entities is maintained on a regular basis;
- Reconciliations for bank accounts, debtors and creditors are performed at the end of each month for each of the business entities;
- A stocktake will be performed during the last weekend in June for each entity that deals in trading stock; and
- It is expected that the trial balance of each of the business entities will be completed no later than 31st October.

In respect of the personal tax returns for you and your family, it is expected that all relevant information will be collated and forwarded to our office no later than 31st December. We shall detail more specific requirements in respect of the individual tax returns later in this letter.

19. No statutory financial audits are conducted

You and your employees are responsible for the maintenance of the accounting systems and internal controls for all the business entities. That includes the keeping and maintenance of all required books of account. Our firm is not engaged in conducting a statutory audit of the financial records of any of your business entities and we will not express an auditor's opinion as to the truth and fairness of the financial statements.

20. Documentation

Before we lodge any returns on your behalf, we will forward the documents to you for your approval. We will endeavour to ensure that the returns are lodged by the due dates. If you are late in providing information, we will do our best to meet the time limits, but we will not be responsible for any lodgement penalties or interest you may incur.

21. Ownership of documents

The financial statements, tax returns and any other documents which we are specifically engaged to prepare, together with any original documents given to us by you, shall be your property. Any other documents brought into existence by us, including general working papers, the general ledger and draft documents, will always remain our property. If our services are terminated (by either party) we shall be entitled to retain all documents owned by you until payment in full of all outstanding fees. Where copies of any documents released to you are required for our records, you will be charged for the cost of photocopying at our normal rates. Note: In accordance with our professional and legal obligations, we are required to keep a copy of your documents for a minimum of 5 years even if this engagement ends and you engage another accountant. These will be kept securely and only access should we be required to in line with relevant laws.

22. Additional services

Our agreed fee is only for the preparation and lodgement of the accounting and taxation matters detailed above. Any agreed fee applies only to services and advice provided within the scope of our engagement. This fee includes the checking and forwarding of original assessments and original payment notices that are received from the Australian Taxation Office and the Australian Securities & Investment Commission (ASIC). However, any additional services or advice that you request are outside the scope of our engagement and not included in this agreed fee. These services will be charged based on the time and degree of skill and acumen required to complete the task undertaken by us, including any direct out-of-pocket expenses. Please note, any correspondence from the Australian Taxation Office or ASIC that does not relate to initial assessments, or original payment notices will be treated as additional services.

23. Limitations to advice

Please be aware that:

- Any advice given is an opinion only and is based on our knowledge of the particular circumstances; and
- That there are limitations attaching to tax advice and service so that you should not interpret an expression of opinion by us as an assertion of fact.

We shall now outline the basis of our engagement in the context of the specific services to be provided. It should be noted at the outset that as a general proposition we rely on our clients to provide us with accurate and timely information to enable us to properly perform our engagement obligations. Consequently, any rectifying work performed by us on the basis of incorrect or late information will be work which is outside the scope of our engagement and will be charged as additional services.

24. Business Activity Statements

As the business activity statements are prepared quarterly and lodged during the financial year, it is not possible for this firm to review the correctness of the underlying financial information as part of the preparation of the quarterly Business Activity Statements. This is because we are engaged to prepare the annual accounts and these are prepared at the conclusion of the financial year. Therefore, for the quarterly Business Activity Statements, we will rely on and process the financial information provided to us without any review of the primary source documents. In doing that, we will make the following specific assumptions:

- The financial information provided to us is accurate;
- The financial information correctly states the GST position. For example, all input tax credits and GST payable amounts have been correctly recorded in the general ledger;
- You have the necessary supporting documentation to satisfy the Australian Taxation Office for GST purposes; and
- You hold valid tax invoices and adjustment notes for all expenditure incurred by you in respect of which an input tax credit is being claimed.
- If you are unsure of the correct GST position or documentary evidence required we are able to provide this as work which is outside the scope of our engagement and charged as additional services.

However, it is possible that, when the financial accounts are prepared, some discrepancies will exist between the information disclosed in the quarterly Business Activity Statements and the annual financial statements. Should any discrepancies arise, we will discuss the need to correct either the Business Activity Statements and/or financial accounts and the fee for those services.

25. Financial Accounts

This firm has been engaged to prepare the annual financial accounts of your business. This service includes preparation of: A profit and loss statement; A balance sheet; and Notes for the above accounts. This service includes maintenance of the charts of accounts for the general ledgers of your business entities. It also includes telephone support should you require any assistance as to how to record specific transactions in the general ledger. The fee of this service also includes the preparation and lodgement of standard reports to be furnished to ASIC. This service does not include the preparation of one-off accounts for presentation to your financiers for additional finance and the like.

26. Income Tax Returns

This firm has been engaged to prepare and lodge income tax returns for your business and yourself. In addition to the basic financial information required to complete these tax returns, it is expected that the source documentation will be available to allow this firm to analyse the tax implications of any transaction. It is also expected that, in respect of individual income tax returns, each person will comply with the substantiation provisions of the Income Tax Assessment Act. We will specifically advise as to the requirements of the substantiation provisions relating to your income tax return and of the necessity to obtain acceptable receipts as specifically required by the legislation. We will not, however, be checking that the requirements of the substantiation provisions have been satisfied. This specifically means that we will not be reviewing your logbook or any calculations or information you provide us with, for example a rental property schedule either prepared by you on spreadsheet or by a property manager. If you require assistance in completing a logbook or preparing any calculations or you would like us to review such work, please discuss this with us. This will entail work which is outside the scope of our engagement and will be charged as additional services.

From time to time, this firm prepares templates and schedules to assist with the collation of information to complete income tax returns. These will be provided free of charge.

The fee for this service does not cover any inquiries or investigations conducted by the Australian Taxation Office. Substantial penalties may apply for an incorrectly prepared tax return. You have the option to obtain audit insurance. We are partners of Audit Cover, and you can get a quote here. We may receive commission from Audit Cover from time to time.

If you have any queries in relation to this, please contact our office for assistance.

27. Fringe Benefits Tax Returns

If this firm has also been engaged to prepare and lodge the Fringe Benefits Tax Returns for your business, then please note, with the introduction of GST, it is no longer possible to prepare a Fringe Benefits Tax Return from the information contained in the general ledger.

It is necessary to revert to the source documentation to allow this firm to analyse the Fringe Benefits Tax implications of any transaction. Our fee for this service includes the following:

- Advice on how to collate the information necessary to prepare the annual Fringe Benefits Tax Return;
- Telephone advice on basic Fringe Benefits Tax issues;
- An annual review of the means to reduce the Fringe Benefits Tax expense on the annual Fringe Benefits Tax Return; and
- The calculation of Reportable Fringe Benefits Tax Amounts that are to be included on the annual payment summaries for your employees (including family members employed in your business).

28. Superannuation

If this firm has also been engaged to attend to the compliance work for your superannuation fund, this assignment will involve:

- Preparation of the annual financial accounts for the purposes of the Superannuation Industry Supervision Act (the SIS act)
- Preparation and lodgement of the SMSF annual return. It is important to note as part of the regulatory framework for SMSFs an annual audit of the fund must be undertaken and provided to the trustees before the annual SMSF return is lodged. Therefore, trustees of the fund must ensure that they provide the fund accounting records no later than 30 September each year to allow these tasks to be completed.
- With respect to the annual audit of the SMSF referred to above, this office will make arrangements for the audit to be undertaken by an external party, and the cost of such third party will be included in our fee for services rendered each year
- Annual review of superannuation funding requirements.

TERMS OF ENGAGEMENT

In addition to the basic financial information required to complete these requirements, it is expected that the source documentation will be available to allow this firm to analyse the implications of any superannuation-related transaction. You should also note that the deeds of the fund should be annually reviewed by a superannuation specialist to ensure they continue to comply with the requirements of the SIS Act. Our engagement does not extend to the provision of legal advice, and our fee does not include this service, although we are happy to recommend the services of a superannuation specialist for this task.
Our fee does not include financial planning services for the investments of the superannuation fund or any planning advice for your future retirement planning needs. This service does not cover any inquiries or investigations conducted by the Australian Taxation Office.

29. Disclosure

You [the client] must provide all information and documents relevant to the proper performance of the work at the outset of the engagement and during the engagement. This includes promptly advising us of anything that occurs subsequently to rendering information already provided misleading or incomplete or advising of any change in your circumstances relevant to the work.
If during the engagement you become aware of any conflict of interest or potential conflict of interest or there is a change of circumstances which may result in a conflict, you must advise us.
Events which may give rise to a conflict of interest or potential conflicts during the engagement include events affecting you, such as deaths, matrimonial disputes as well as litigation (threatened or actual) or changes in the nature or structure of your business or your business relationships.
There are provisions in the Taxation Administration Act 1953 that provide you (as from 1 March 2010) with "safe harbours" from administrative penalties for incorrect or late lodgement of returns if, among other things, you give us "all relevant taxation information" in a timely manner.
This means that it is to your advantage to give us all information necessary for us to do the work.

30. Confidentiality

Subject to the law, we must not disclose any information relating to your affairs to a third party without your consent. We may from time to time use contractors to assist with the preparation of your work. By signing this engagement letter, you agree to us disclose your confidential information to the extent required.

31. Your Rights and Obligations Under Tax Law

The taxation laws confer on your certain rights (such as to challenge a decision of, or an assessment issued by, the Australian Taxation Office) but also impose obligations on you (such as the keeping and retaining of adequate and accurate records and the filing of relevant returns with the Australian Taxation Office within the required time limits). Please refer to our website www.theaccountingacademy.com.au for more information

32. Duty to Comply with the Law

We will act in your best interests, however we must comply with the law, even where that may be contrary to your interests. For example, we must comply with certain statutory notices from the ATO, which may require payment to it of money we are holding on your behalf, or the production of documents or information.

33. Professional Competence

You must provide all information and documentation which we should take into account in applying the taxation laws. Any failure by you to provide all such information and documentation, both voluntarily and in answer to our questions, may affect your ability to access the safe harbour provisions and will be taken into account when assessing our obligations under the Code.
Our obligations under this principle are also limited to the extent of any disclosure by us in this letter of specific specialities, skills, or lack thereof, or other limitations.

34. Trust Account

We do not offer fee from refund, however if we do receive your funds, we will separately account to you for all money and other property received from you or for you other than money received from you in payment of our fees for services already rendered.

35. Quality Review

As members of Chartered Accountants ANZ (CAANZ) we are subject to periodic quality assurance reviews (as well as annual audit of our trust account). Unless otherwise advised by yourself, by engaging our firm, you are consenting to your files possibly being part of such a quality review.

36. Standards

We aim to provide the highest standard of professional service and are focused on the concerns of my/our clients. If for any reason you feel you have not received the level of service expected or have an issue to raise, please contact myself to discuss how the problem may be resolved.

Furthermore, as members of the CAANZ in public practice, we are subject to the ethical requirements of the CAANZ and its Investigations and Disciplinary processes. These requirements cover issues such as a Code of Conduct and Ethics, adherence to Accounting and Auditing Standards, requirements to undertake Continued Professional Education and to hold trust money in a Trust Account. Should there be an issue regarding the ethical or business practices of this firm, such matters may be referred to the CAANZ. However, as the accounting profession does not have regulated fees, the CAANZ not investigate purely fee-based disputes but may recommend the parties seek mediation to resolve such disputes.

37. Previous Accountant

As a matter of professional courtesy, and in line with the requirements of the CAANZ, we will inform your previous accountant that we have been engaged by you as your new accountant and to receive from them any outstanding matters and files. You may refuse to provide this information but in doing it may cause problems in the efficient transfer of your files.

38. Limitation of Liability

Our liability is limited by a scheme approved under Professional Standards Legislation. Further information on the scheme is available from the Professional Standards Councils' website: http://www.psc.gov.au.

39. Confirmation of engagement

Please consider all aspects of this letter to ensure you are satisfied with the scope and terms of our engagement. If you have any queries about this letter of our services, please do not hesitate to contact us.
All parties to this engagement, for example all directors of a company, must sign. By signing below, or by continuing to provide us with information and instructions regarding your financial affairs after receiving this letter, you acknowledge that you have read, understood, and agreed to the terms of this engagement for the entities and individuals listed.

Yours sincerely,

Daniel van der Heyden, Tax Agent

Signature:

Date: